

**Digital Platform Governance in China and the United States: A Comparative Policy
Analysis**

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InfoTech in a Global Economy (ITS-832-A03)

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September 6, 2026

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Analysis

Digital platforms have now become an integral area of information technology policy due to economic growth and governance roles, which have created new challenges for conventional regulatory strategies. China and the United States have responded to emerging challenges through distinct governance models. China's reliance on a more state-centered approach, where government authorities and digital platforms share substantial regulatory duties, while the United States relies heavily on private companies, competition policy, and regulatory agencies with legal oversight. Although these differences exist, both countries face challenges in striking a balance among platform accountability, innovation, effective regulation, and competition. This paper compares digital platform governance in China and the United States, examining the gap between regulatory objectives and the economic and institutional factors at play. It also analyzes how the interplay among legal traditions, political systems, and market structures influences policy, proposes policy revisions, and considers how a more proportionate blend of flexibility, accountability, and public oversight could provide an adaptable governance approach for emerging markets.

Digital Platform Governance Frameworks in China and the United States

China

China focuses on integrating duties into various policies and uses digital platforms as part of a comprehensive regulatory framework. These digital platforms are regulated as third-party agents, unlike tools that implement state decisions. This approach emphasizes the significance of integrating political compliance with market efficiency, economic growth, and the establishment of a platform marketplace. The main regulation goals were to improve governance efficiency by controlling user misconduct. Creating a balance of socio-political stability to achieve state-centered goals. Enrich the financial state and strengthen technological independence. Protecting national security, supporting the development of commercial systems, addressing the concerns of the people, and taking measures to safeguard consumers and public information.

E-Commerce Law is understood to encompass platform responsibility clauses. Personal Information Protection is identified as containing user information and safety standards. The Anti-monopoly Guidelines on the Platform Economy are issued by the State Administration for Market Regulation (SAMR). Draft Platform Guidelines (2021) SAMR issuance of a framework for various platform categories, consisting of "super platforms" (Fletcher, 2023)

The government uses digital platforms to streamline legal and governance processes. Litigation infrastructure is built using these platforms, and the judicial system is also an important site of governance.

Platforms can significantly help with areas such as copyright enforcement, content control, and government-public interaction on various subjects. They provide strict guidelines on User Activity and rules for managing users. Digital infrastructure for judicial systems and government can be adopted. With commercial influence established, these platforms can provide reasonable governance power.

United States

The United States model is less about the government and more about the traditional antitrust and competition policies. The studies validate that the antitrust doctrine is more focused on consumer welfare and short-term price effects. The major point of distinction is the monopolization of market systems and the question of how high-profile platforms should be constrained. The main regulatory goals include identifying major digital platforms and enforcing robust regulation beyond traditional antitrust. To preserve competition and increase efforts to use platforms to improve the efficiency of governance.

Antitrust and Competition Policy is a primary existing regulatory approach. Consumer welfare-centered antitrust is an analytical framework argued to be inadequate for platform power. Public Utility regulation is identified as an approach for governance of strong platforms in place.

The US governs the dominant platforms through competition, regulation, and legal methods. The debate continues over whether conventional competition law is adequate for platform economies. The platforms function as independent commercial agents. Large establishments serve as crucial digital environments and emphasize public discourse, communication, and commerce.

Amazon can be considered a strong instance in this regard (Khan, 2017)

Regulatory Goals and Policy Misalignments, and actual technological, economic or institutional realities

China

To improve governance efficiency by controlling user misconduct. Research indicates a power-liability gap due to the introduction of a top-heavy structure (Li, 2026) that satisfies state regulators by requiring strict protocols to be maintained, while weakening user rights. As quasi-regulators and competitors, the platforms have strong incentives to develop their own governance in ways that could favor their products. Thus, this can lead to over-regulation that drives platforms toward the owner's self-serving interests. This, therefore, creates a misalignment, as undertaking platform responsibility requires recognizing that platforms are incentivized not by legal coercion but by genuine motivation.

To encourage the growth of global competitive platforms consistent with the state's goals.

The post-2019 regulatory turn led to many years of encouragement for home entrepreneurs (McKnight et al., 2023). These homegrown firms grew into powerful entities, becoming public utilities and independent regulators, thereby gaining control over the Chinese economy, without effective liability for overreach. The state did not anticipate how quickly private platforms would become infrastructure and key mediators across social and economic conditions (McKnight et al., 2023)

United States

To learn from platforms and improve governance.

Research suggests stalled US governance collaboration with China's developed state platform arrangements. US experiments are stalled, although platforms communicate public discourse and key infrastructure details. Institutional absorption has delayed the scale of platform power and socio-technical centralization (Qiao, 2026).

To encourage competition through platform monitoring.

To connect new ex-ante regimes in response to the limitations of competition law. This law can be extremely slow and narrow for quickly growing commercial endeavors. Digital markets could become centralized quickly and outpace regular execution (Fletcher, 2023).

Political, Legal, and Market Structures Shaping Policy Outcomes

The differences between China and the United States can be compared through Political systems, legal institutions, market structures, and national policies, which thus influence the digital platform governance.

<u>Dimension</u>	<u>China</u>	<u>United States</u>	<u>Effect on Policy Outcomes</u>
Platform market base	Large domestic platform firms present.	Influenced by dominant firms and two-sided platforms.	China governance gives priority to domestic leaders more, while US governance focuses on market strengths and antitrust
Economic Structure	Partial liberalized economy balance control with growth.	Structured by scope, network impact and data merits.	China focuses on broader state development accomplishments whereas US struggles with concentrated platform economics.
Market structure & competition	Powerful domestic platforms that function within substantial state oversight; government impact over platform development and competition	Several Big Technology institutions dominate this economy with access to huge chunks of data increasing complexities for new firms to compete. Thus, policy makers rely on antitrust mechanisms	China tries to balance platform driven development economically. In the US a concentrated platform undermines competition however makes conventional antitrust application complex to apply.

Table 1
Comparison of Political, Legal, and Market Structure in China and the United States

Note: Comparison synthesized from Fletcher (2023), McKnight et al. (2023), Qiao (2026), Khan (2017) and Li (2026)

Policy Revision Proposals and Their Application in Emerging Markets

The digital platform regulations in China and the US could benefit from reforms that retain the merits of the present systems while also addressing accountability and competition issues identified in the literature. Instead of replacing the governance model, policy revisions should emphasize improving platform accountability, addressing the strength of the platform's market power, and ensuring that regulation is proportionate to the characteristics of digital institutions.

Strengthen accountability within platform co-governance

China can set specific standards for platform authority and encourage transparency requirements to maintain the efficiency of digital platforms. This could enable users to challenge platform decisions. This recommendation is supported by Li's (2026) discussion of the regulator-platform-user model and Qiao's (2026) analysis of platforms that act as co-governors. Regarding emerging markets, this approach could be useful, as governments with limited regulatory capacity can rely on these platforms to handle implementation tasks while maintaining basic user security and public oversight.

Increase targeted competition rules for dominant digital platforms

The United States should supplement conventional antitrust enforcement with platform-specific competition evaluations in cases where market concentration and network effects make standard competitive analysis difficult. This may include restrictions on unfair self-preferencing, interoperability, and data portability to prevent dominant firms from imposing excessive obligations on smaller establishments. This recommendation is supported by Khan's (2017) analysis of platform market power and Fletcher's (2023) discussion of pro-competition digital regulation. Emerging markets could possibly adopt these measures and avoid complex regulations that could discourage small entrepreneurs and businesses.

Proportionate hybrid governance model

Emerging markets should refrain from adopting either China's state-centered approach or the market-oriented US model, as each reflects institutional contexts that may not align with local conditions. Instead, a cumulative, government-established minimum-standard approach is preferable because it allows for flexibility while ensuring fundamental protections such as fair competition, user security, and oversight. However, implementing this hybrid model presents notable challenges. Emerging markets frequently face administrative constraints, limited enforcement capacity, and varying levels of digital infrastructure, all of which can hinder the consistent application of regulatory standards. In addition, political and economic instability may impede the development and adjustment of regulatory frameworks over time. One possible counterargument is that a hybrid regulatory approach could introduce ambiguity or inefficiencies by blending divergent models, thereby increasing compliance burdens for both regulators and digital platforms. However, by adopting a proportionate hybrid framework, emerging markets can balance state and market interests and tailor regulation to their unique economic and administrative capacities. While successful implementation will require ongoing investment in regulatory institutions and stakeholder engagement, the capacity to adapt to domestic realities mitigates concerns about inefficiency, as the framework allows for iterative adjustments based on practical experience. This approach is justified as it enables adaptation to domestic realities, promotes efficient market functioning, and supports sustained economic growth. McKnight et al.

(2023) illustrate that China's platform governance systems are designed around its own technology, economy, and political priorities, while Fletcher (2023) highlights the risks of regulatory fragmentation and the importance of cross-jurisdictional learning. Thus, emerging markets should adapt regulatory tools to their own capacity for establishment, development requirements, and market size.

Economic and Legal Perspectives and Policy Trade-offs

From a legal and economic standpoint, digital platform policies that reduce governance risks without stifling innovation or investment could be the most efficient. Khan (2017) in his research shows that the conventional antitrust approach may result in failure to capture the significance of huge digital platforms if focus is applied on short-term customer prices, while Fletcher (2023) argues that targeted competitive measures could be useful but also cause compliance costs and reduce the innovative ideas if considered on a broader spectrum. Li (2026) and Qiao (2026) show that platform participation in governance can significantly improve efficiency but create accountability issues when independent platforms exercise authority over other users without strong procedural protection standards.

Therefore, these findings support recommendations to strengthen platform accountability, establish proportionate participation rules, and set clear limits on designated platform power. However, important trade-offs remain: Strong oversight can improve user security but reduce platform flexibility; strict competition regulation could open markets to new innovations but could also increase burdens, thereby making the duties between the government and private companies unclear.

Thus, emerging-market trade-offs suggest that regulation should be proportionate to local establishment capacity and financial conditions, rather than directly adopting the present models of both the U.S and China.

Conclusion

The research shows that stronger state control can help improve coordination; however, it creates accountability issues. The broader learning is that for efficiency in digital policy flexibility, platform accountability, public oversight, and local conditions are key fundamentals for emerging markets

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